UNITED STATES BANKRUPTCY COURT
EASTERN DISTRICT OF LOUISIANA

In re: Martin Energy, LLC Debtor v. Crescent Drilling & Production, Inc., and Crescent Drilling Foreman, Inc. Defendants	Case No. 23-10898 Chapter 7 Section A Adv. No. 24-_____ Section A

COMPLAINT

NOW INTO COURT, through undersigned counsel comes Wilbur J. "Bill" Babin, Jr., solely in his capacity as duly appointed trustee for the above captioned Chapter 7 estate ("Trustee" or the "Plaintiff") who files this Complaint. In support of this Complaint, the Plaintiff represents as follows:

JURISDICTION AND VENUE

1. The Court has jurisdiction over this matter pursuant to 28 U.S.C. §§ 157 and 1334. This matter is a core proceeding within the meaning of 28 U.S.C. § 157(b)(2)(A), (B), (C), (H), (K) and (O).

2. Venue is proper pursuant to 28 U.S.C. §§ 1408 and 1409.

THE PARTIES

3. Plaintiff herein is Wilbur J. "Bill" Babin, Jr., solely in his capacity as the Chapter 7 Trustee ("Trustee") for the estate of Martin Energy, LLC ("Debtor" or "Martin").

4. Defendant Crescent Drilling & Production, Inc. ("CDP") is a Louisiana corporation with its principal business establishment in Kenner, Louisiana.

5. Defendant Crescent Drilling Foreman, Inc., ("CDF"), is a Louisiana corporation with its principal business establishment in Kenner, Louisiana.

6. CDP and CDF (collectively "Crescent")[1] each provide different services to clients. CDP provides services to the oil and gas industry from project commencement through completion. Those

[1] The term Crescent in this pleading means at least one of CDP or CDF. Alternatively, it means CDP and CDF working in concert.

FACTUAL & PROCEDURAL BACKGROUND

8. The Debtor is a Louisiana limited liability company that, on the Petition Date, owned interests in certain oil and gas wells. Based on information provided to the Trustee, the Debtor owned a 28.215972% working interest in the Haspel & Davis Well[2], and 59.353318% working interest in the A0392 Well[3] (collectively "Wells"). Prior to the bankruptcy, the Debtor was the designated operator on both wells. Both wells have been non-producing since April 2023. Pre-petition claims have been asserted in the Bankruptcy Case in excess of $5 million by the various vendors and service companies who did work on the Wells. Many of these creditors have asserted oil and gas liens (and/or privileges) under the Louisiana Oil & Gas Lien Act ("LOWLA").

The Crescent/Martin Relationship

9. On or about June 21, 2021, CDP and the Debtor entered into a Master Service Agreement ("MSA") whereby CDP, along with its parent, subsidiaries, and affiliates (including CDF), agreed to provide services, labor, equipment, materials, supplies, and related services used in well operation, production and drilling in connection with the Debtor's construction and/or operations of properties and facilities for the exploration, development and/or production of oil and gas at rates and costs agreed upon by the parties. A copy of the MSA is attached as Exhibit "A".

The Crescent/Martin Relationship

10. Under the MSA, CDP was obligated to perform all services in a good and workmanlike manner in accordance with good engineering and/or oil field practices.

11. Paragraph 5.2 of the MSA states as follows:

> Contractor [CDP] agrees to pay all claims for labor, materials, services, and supplies furnished by or to Contractor, if any, in connection with its obligations under this Agreement including without limitation the Services and agrees to allow no third party lien or charge to be fixed upon any lease, well, land, or other property of Company [Martin]. Contractor agrees to indemnify, protect, Defend, and hold

[2] Serial No. 252857

[3] Serial No. 252405

11. Paragraph 5.2 of the MSA states as follows:

> harmless Company Group [which includes Martin] from and against all such claims, charges, and liens, excepting any claims or rights by Contractor as a result of Company's nonpayment of undisputed invoices regarding Contractor's Services performed pursuant to the Agreement.
>
> Contractor [CDP] agrees to pay all claims for labor, materials, services, and supplies furnished by or to Contractor, if any, in connection with its obligations under this Agreement, including without limitation CDF Services, and agrees to allow no third party lien or charge to be fixed upon any lease, well, land, or other property of Company [Martin]. Contractor agrees to indemnify, protect, Defend, and hold harmless Company Group [which includes Martin] from and against all such claims, charges, and liens, excepting any claims or rights by Contractor as a result of Company's nonpayment of undisputed invoices regarding Contractor's Services performed pursuant to the Agreement.

12. Pursuant to Paragraph 6.0 of the MSA, CDP and CDF were independent contractors. As such, Martin was obligated to designate the services it desired to be performed and the ultimate results to be obtained, but the methods and details of performance were to be determined by Crescent. Through the MSA, Martin conferred authority to CDP and CDF to act on behalf of Martin. Martin had no control over the manner and method of performance by Crescent.

13. In June 2021, Crescent began using a bank account at Hancock Whitney Bank, account ending in 6707 ("Martin/Crescent Account"), for the financial operations related to services provided on Martin's behalf under the MSA. The account was in the name of "Crescent Drilling and Production, Inc. Client Services". Upon information and belief, only the Debtor's money was held in the Martin/Crescent Account. Neither CDP nor CDF contributed funds to the Martin/Crescent Account. CDP, an agent of Martin, had complete control of the funds in the Martin/Crescent Account and was able to decide which vendors were paid.

14. Working interest owners paid invoices for cash calls and joint interest billings directly to the Martin/Crescent Account, and funds generated from the sale of oil and gas were also deposited into the Martin/Crescent Account. Invoices from vendors and subcontractors were paid by Crescent from the Martin/Crescent Account. Martin did not have control over the Martin/Crescent Account and did not have the authority to dictate which invoices were paid. Essentially, CDP had functional and fiduciary control of the Debtor.

15. Between November 17, 2021, through July 6, 2022, CDF provided services, labor, equipment, materials, supplies, and related services used in the operation and production of the Wells.

and did not have the authority to dictate which invoices were paid. Essentially, CDP had functional

16. The methods and details of performance for the drilling, completion and production economic control of the Debtor.

operations of the Wells were determined by Crescent.

15. Between November 17, 2021, through July 6, 2022, CDF provided services, labor,

17. The care and control of all subcontractors hired to perform the drilling, completion and equipment, materials, supplies, and related services used in the operation and production of the Wells.

production operations were controlled by Crescent. As contract operator, the exclusive choice(s)

The A0392 Well

to follow the outlined physical drilling, completion and production procedures rested with

16. Included in the services provided to Martin by Crescent was drilling the A0392 well.

Crescent. the drilling of prior wells in the Empire Field, good engineering and/or oil field practices

required the well to be gravel packed during drilling. Nonetheless, and even though the engineering

The A0392 Well

proposal contained gravel packing as a procedure, Crescent chose to deviate from the engineering plan

18. Included in the services provided to Martin by Crescent was drilling the A0392 well. Based and not gravel pack the A0392 Well.

on the drilling of prior wells in the Empire Field, good engineering and/or oil field practices

17. In January/February, 2022, Crescent caused the A0392 Well to "sand in" when it

required the well to be gravel packed during drilling. Nonetheless, and even though the opened the choke or "yanked" and "pulled" on the choke on the well to increase production. The

engineering proposal contained gravel packing as a procedure, Crescent chose to deviate from the opening of the choke increased production to approximately 600 barrels a day. After a few days, the

engineering plan and not gravel pack the A0392 Well. well became clogged. The loss of the well resulted from a failure to gravel pack the well, combined with

opening the choke to a size too large. Without gravel packing, the A0392 Well was producing and

19. In January/February, 2022, Crescent caused the A0392 Well to "sand in" when it opened should only have continued to produce an estimated 200-250 barrels a day to avoid the well sanding in.

the choke or "yanked" and "pulled" on the choke on the well to increase production. The opening As a result of the sanding, the Debtor was required to recomplete the A0392 Well in the K4 Sand in

of the choke increased production to approximately 600 barrels a day. After a few days, the well September 2022. CDP's acts resulted in Martin incurring additional costs to recomplete the well, plus

became clogged. The loss of the well resulted from a failure to gravel pack the well, combined loss of profits due to greatly reduced production.

with opening the choke to a size too large. Without gravel packing, the A0392 Well was producing

COUNT I

and should only have continued to produce an estimated 200-250 barrels a day to avoid the well

BREACH OF CONTRACT

18. Made defendant to Count I is CDP.

sanding in. As a result of the sanding, the Debtor was required to recomplete the A0392 Well in

19. The Debtor re-states and re-alleges the factual allegations plead in the paragraphs above the K4 Sand in September 2022. CDP's acts resulted in Martin incurring additional costs to and below in this Complaint as if fully set forth herein.

recomplete the well, plus loss of profits due to greatly reduced production.

20. Under the MSA, CDP had the following contractual obligations:

(a) CDP warranted the performance of all Services in a good and workmanlike manner in accordance with good engineering and/or oil field practices.

COUNT I
BREACH OF CONTRACT

26. Made defendant to Count I is CDP.

27. The Debtor re-states and re-alleges the factual allegations plead in the paragraphs above and below in this Complaint as if fully set forth herein.

28. Under the MSA, CDP had the following contractual obligations:

a. CDP warranted the performance of all Services in a good and workmanlike manner in accordance with good engineering and/or oil field practices.[6]

b. CDP agreed to pay all claims for labor, materials, services, and supplies furnished by or to Crescent in connection with its obligations under the MSA, and not allow any third party lien or charge to be fixed upon any lease, well, land, or other property of Martin..[7]

c. Pay attorney fees. The indemnity provisions of the MSA also provided the recovery of attorney's fees and costs.[8]

29. CDP breached its obligations by:

a. Failing to have funds in reserve from cash calls or other funding prior to performing work on behalf of Debtor; or,

b. On information and belief, CDP overbilled the Debtor such that, in whole or in part, funds in reserve were insufficient to cover the expenses; or,

c. Knowing the Debtor was undercapitalized, CDP hired subcontractors and incurred expenses that the Debtor had no ability to pay.

30. CDP breached its obligations by:

a. Failing to have funds in reserve from cash calls or other funding prior to performing work on behalf of Debtor; or,

b. On information and belief, CDP overbilled the Debtor such that, in whole or in part, funds in reserve were insufficient to cover the expenses; or,

c. Knowing the Debtor was undercapitalized, CDP hired subcontractors and incurred expenses that the Debtor had no ability to pay.

31. Therefore, CDP is liable to the Debtor for all damages sustained as a result of its breach of contract.

[6] See MSA, ¶3.3
[7] See MSA, ¶5.2
[8] See MSA, ¶¶8.0 – 8.3

38. CDF breached its duty relative to the A0392 Well when it failed to gravel pack the well at the time of drilling.

39. CDF also breached its duty relative to the A0392 Well when it opened the choke or "yanked" and "pulled" on the choke on the well to the point that the well was producing approximately 600 barrels a day, against expert engineering advice that it should only be producing at 200-250 barrels a day.

40. Failure to gravel pack the well and the opening of the choke to allow production of approximately 600 barrels per day caused the structural damage to the formation.

41. CDF's breach of its duty to act as a reasonable contractor was the cause-in-fact and proximate cause of why the well became sanded-in at the K6 level and the loss of pressure of the well at the K4 level.

42. As a result, Martin sustained damages including but not limited to: loss of revenue; destruction of the formation at the K6 level, making further production from this well bore impossible; and loss of pressure of the reservoir at the K4 level. The sanding of the A0392 Well halted all production at the well, which ultimately resulted in the Involuntary Petition being filed and Martin's loss of all reserves.

Allegations Regarding the H&D Well

43. CDF breached its duty relative to the Haspel and Davis Well by adding an unnecessary gas lift and using faulty valves.

44. CDF's use of the faulty valves and failure to replace them were the cause-in-fact and proximate cause of the Haspel and Davis Well going from producing around 200 barrels a day to around 30 barrels a day.

COUNT II

NEGLIGENCE

26. Made defendants to Count II are CDP and CDF.

27. The Debtor re-states and re-alleges the factual allegations plead in the paragraphs above and below in this Complaint as if fully set forth herein.

Allegations Regarding the A0392 Well

28. CDF knew or should have known that gravel packing was required when drilling the A0392 Well.

29. CDF breached its duty relative to the A0392 Well when it failed to gravel pack the well at the time of drilling.

30. CDF also breached its duty relative to the A0392 Well when it opened the choke or "yanked" and "pulled" on the choke on the well to the point that the well was producing approximately 600 barrels a day, against expert engineering advice that it should only be producing at 200-250 barrels a day.

31. Failure to gravel pack the well and the opening of the choke to allow production of approximately 600 barrels per day caused the structural damage to the formation.

32. CDF's breach of its duty to act as a reasonable contractor was the cause-in-fact and proximate cause of why the well became sanded-in at the K6 level and the loss of pressure of the well at the K4 level.

33. As a result, Martin sustained damages including but not limited to: loss of revenue; destruction of the formation at the K6 level, making further production from this well bore impossible; and loss of pressure of the reservoir at the K4 level. The sanding of the A0392 Well halted all production at the well, which ultimately resulted in the Involuntary Petition being filed and Martin's loss of all reserves.

Allegations Regarding the H&D Well

34. CDF breached its duty relative to the Haspel and Davis Well by adding an unnecessary gas lift and using faulty valves.

89. CDP was the initial transferee of the CDP Transfers.

90. CDF was either the initial transferee of the CDF Transfers or the immediate transferee from CDP of certain CDP transfers.

COUNT X

91. Pursuant to 11 U.S.C. § 550, the Debtor is entitled to recover the value of the Avoidable Transfers.

COUNT IX
OBJECTION(S) TO CDP CLAIM

92. Pursuant to 11 USC §502 and Bankruptcy Rule 3007, made defendant to Count IX is CDP.

93. The Debtor re-states and re-alleges the factual allegations plead in the paragraphs above and below in this Complaint as if fully set forth herein.

94. If this Court grants Trustee relief under any of the above Counts as to CDP, the CDP Claim should be disallowed to the extent the CDP Claim is not subordinated or affirmatively recovered from CDP.

95. Alternatively, Trustee objects to the CDP Claim because it is subject to setoff for the damages caused by CDP through their negligence, breach of contract, or other causes of actions asserted in Counts I-VIII.

PRAYER FOR RELIEF

96. Wherefore, William J. Bell, Esq., Jr., solely in his capacity as duly appointed trustee for Martin Energy, LLC prays for the following relief:

(a) For a judgment that CDP is liable to the Estate for any and all damages sustained as a result of its breach of the MSA.

(b) For a judgment that CDP is liable to the Estate for any and all damages sustained as a result of its negligent actions.

(c) For a judgment to equitably subordinate the CDP Claim by transferring any lien securing the CDP Claim to the Estate, or alternatively, subordinate the CDP Claim to all unsecured creditors pursuant to 11 U.S.C. § 510(c).

(d) For a judgment avoiding the CDP Transfers pursuant to 11 U.S.C. § 548(a)(1)(B).

(e) For a judgment avoiding the CDF Transfers pursuant to 11 U.S.C. § 548(a)(1)(B).

35. CDF's use of the faulty valves and failure to replace them were the cause-in-fact and proximate cause of the Haspel and Davis Well going from producing around 200 barrels a day to around 30 barrels a day.

COUNT X
OBJECTION(S) TO CDF CLAIM

36. Pursuant to 11 USC §502 and Bankruptcy Rule 3007, made defendant to Count X is CDP.

COUNT IX
OBJECTION(S) TO CDP CLAIM

37. The Debtor re-states and re-alleges the factual allegations plead in the paragraphs above and below in this Complaint as if fully set forth herein.

38. If this Court grants Trustee relief under any of the above Counts as to CDP, the CDP Claim should be disallowed to the extent the CDP Claim is not subordinated or affirmatively recovered from CDP.

39. Alternatively, Trustee objects to the CDF Claim because it is subject to setoff for the damages caused by CDF through their negligence, breach of contract, or other causes of actions asserted in Counts I-VIII.

(f) For a judgment avoiding the CDF Transfers pursuant to 11 U.S.C. § 544 and LA C.C. Art. 2036-2043.

(g) For a judgment avoiding the CDF Transfers pursuant to 11 U.S.C. § 544 and LA C.C. Art. 2036-2043.

(h) For a judgment to recover the value of the avoided transfers pursuant to 11 U.S.C. § 550.

(i) Alternatively, for a judgment disallowing the CDF Claim.

(j) Alternatively, for a judgment disallowing the CDF Claim.

(k) That the Estate of Martin Energy, LLC be awarded, in addition to sufficient compensation for its damages, post-judgment interest, court costs, attorneys fees, and all other general, special, and equitable relief the Court deems just and proper.

k. That the Estate of Martin Energy, LLC be awarded, in addition to sufficient compensation for its damages, post-judgment interest, court costs, attorneys fees, and all other general, special, and equitable relief the Court deems just and proper.

Respectfully submitted,

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